

LEGISLATURE OF NEBRASKA
ONE HUNDRED NINTH LEGISLATURE
SECOND SESSION

LEGISLATIVE BILL 1221

Introduced by Ballard, 21.

Read first time January 21, 2026

Committee:

- 1 A BILL FOR AN ACT relating to the Medical Assistance Act; to amend
- 2 section 68-901, Revised Statutes Cumulative Supplement, 2024; to
- 3 provide definitions relating to community engagement and work
- 4 requirements; and to repeal the original section.
- 5 Be it enacted by the people of the State of Nebraska,

1 **Section 1.** Section 68-901, Revised Statutes Cumulative Supplement,
2 2024, is amended to read:

3 68-901 Sections 68-901 to 68-9,111 and section 2 of this act shall
4 be known and may be cited as the Medical Assistance Act.

5 **Sec. 2.** For purposes of implementing and administering the federal
6 One Big Beautiful Bill Act, Public Law 119-21, as such act existed on
7 January 1, 2026, the department shall adopt the following definitions for
8 purposes of community engagement or work requirements for individuals who
9 experience a short-term hardship event:

10 (1) Extended period of time means (a) one or more overnight stays,
11 (b) repeated travel of two or more trips, or (c) sustained absence from
12 the individual's residence that reasonably interferes with the ability to
13 meet community engagement requirements;

14 (2) Inpatient hospital services means services provided to an
15 individual who is admitted as an inpatient to a hospital under a
16 physician or other health care provider order, consistent with 42 C.F.R.
17 412.3. Inpatient hospital services are deemed to occur beginning on the
18 date of admission, regardless of length of stay, and include any
19 associated outpatient, observation, diagnostic, recovery, or follow-up
20 care related to such admission;

21 (3) Outside of the individual's community means travel outside of
22 the individual's county of residence; and

23 (4) Serious or complex medical condition means an individual who has
24 one or more of the conditions described in 42 C.F.R. 440.315, including
25 any condition for which medicaid coverage is medically necessary.

26 **Sec. 3.** Original section 68-901, Revised Statutes Cumulative
27 Supplement, 2024, is repealed.